# *Public Competition Assessment*

***13 November 2007***

## *Pact Group Pty Ltd - proposed acquisition of Brickwood Holdings Pty Ltd*

### Introduction

1. On 31 October 2007, the Australian Competition and Consumer Commission (**ACCC**) announced its decision to oppose the proposed acquisition (**proposed acquisition**) of Brickwood Holdings Pty Ltd, Logan Moulders Pty Ltd, Full View Plastics Pty Ltd and the units in the Full View Plastics Unit Trust (together, **Brickwood**) by Pact Group Pty Ltd (**Pact Group**). The ACCC was of the view that the proposed acquisition would be likely to have the effect of substantially lessening competition in the markets for the manufacture and supply of PET bottles in Queensland, New South Wales and Victoria, in contravention of section 50 of the Trade Practices Act 1974 (the Act).

2. The ACCC formed its view on the basis of the information provided by the merger parties and information arising from extensive market inquiries. This Public Competition Assessment outlines the basis on which the ACCC has reached its decision on the proposed acquisition, subject to confidentiality considerations.

### Public Competition Assessment

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:

   - a merger is opposed;
   - a merger is subject to enforceable undertakings;
   - the merger parties seek such disclosure; or
   - a merger is approved but raises important issues that the ACCC considers should be made public.

4. This Public Competition Assessment has been issued because the ACCC decided to oppose the proposed acquisition.

5. By issuing Public Competition Assessments, the ACCC aims to provide the market with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the market to the

circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change, because of developments.

6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.

7. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC decision, maintaining confidentiality will be the ACCC's paramount concern. Accordingly, a Public Competition Assessment may not definitively explain the analysis of all issues.

## The proposed acquisition

8. On 31 July 2007, Pact Group announced its intention to acquire Brickwood and provided the ACCC with a submission.

## Relevant parties

### *Brickwood*

9. Brickwood manufactures a range of packaging products including polyethylene terephthalate (**PET**) bottles, high density polyethylene (**HDPE**) bottles, PET preforms and plastic closures. Brickwood is also a purchaser of PET and HDPE resin. Brickwood's manufacturing operations are as follows:

| Entity | State | Products |
|---|---|---|
| Logan Moulders | Queensland | PET & HDPE bottles, closures |
| Full View Plastics & Water | New South Wales | PET & HDPE bottles |
| Brickwood | Victoria | PET & HDPE bottles, closures |

10. Brickwood related entities also participate in joint venture arrangements with National Foods, Parmalat Australia and Dairy Farmers Co-Operative which include on-site blow-moulding facilities for HDPE bottle manufacturing for milk and fruit juice products (**dairy joint ventures**). The dairy joint ventures did not form part of the proposed acquisition.

***Pact Group***

11. Pact Group is a holding company of VIP Plastic Packaging Pty Ltd, trading as VIP Packaging, Plaspak Packaging Pty Ltd, Alto Packaging Australia Pty Ltd and Baroda Packaging Pty Ltd.

12. Pact Group manufactures and supplies a range of packaging products including PET, HDPE, polypropylene (**PP**) bottles and containers and plastic closures through manufacturing operations in Queensland, New South Wales and Victoria. Pact Group has recently commenced manufacturing and supplying 2-3L HDPE beverage bottles in Victoria. Pact Group is also a purchaser of PET and HDPE resin.

13. Pact Group also manufactures and supplies plastic products for the food and retail industries including jars, tubes, food trays and bowls as well as larger containers for industrial applications including tinplate pails, plastic pails and cubes and steel and plastic drums.

14. Pact Group is privately owned by the Geminder family through a family trust (**Geminder Trust**). In 2002, a Pact Group related entity, Salvage Pty Ltd[1], acquired the industrial packaging operations of Visy Industries Australia Pty Ltd (**Visy**). As part of the purchase of the Visy industrial packaging business, Visy entered into an agreement for the provision of corporate and shared services to Pact Group. In 2003, Visy entered into a loan agreement with Salvage to retire the pre-existing vendor finance transferred with the assets at the time of the acquisition.

15. Since the purchase in 2002, Pact Group has taken steps to increase the separation between Pact Group and Visy including through reducing the extent to which Visy provides corporate and shared services and inputs to Pact Group. Recent steps include Pact Group directors resigning from directorships in Visy and related entities.

***Visy***

16. Visy is Australia's largest packaging and recycling company. Visy's operations include:

    - the manufacture and supply of beverage and food containers including PET bottles, PET preforms, PET jars, paperboard cartons and corrugated cardboard boxes; and

    - the collection and processing of recyclable materials and the manufacture and supply of recycled paper.

17. Visy is privately owned by the Pratt family through a family trust (**Pratt Trust**).

[1] The Visy industrial packaging business was sold to a consortium including Salvage Pty Ltd, the corporate trustee for Geminder Trust, which is the ultimate owner of Pact Group.

## Industry background

18. The packaging industry in Australia manufactures and supplies a wide range of packaging products including for industrial and chemical products, household consumer products, pharmaceutical products, personal care products and fast moving consumer goods (**FMCG**). FMCG packaging products include beverage containers (e.g. plastic bottles, cartons, glass bottles and aluminium cans) and non-beverage containers, (e.g. plastic bottles and containers, cartons, glass bottles and jars, steel and aluminium cans and flexible packaging).

19. The vast majority of plastic bottles supplied in Australia are used to package beverages.[2] Beverage container customers include carbonated soft drink (**CSD**), fruit juice, water, functional drinks (including sports and energy drinks) and dairy[3] suppliers (**beverage suppliers**).

20. CSD, water and functional drinks suppliers predominantly use PET bottles for packaging. While there are examples of large scale in-house manufacturing of PET bottles in the past by beverage suppliers, the industry is currently characterised by outsourced manufacturing and supply.

21. Large beverage suppliers are predominantly supplied PET bottles by Visy and Brickwood pursuant to supply agreements, with the remaining beverage suppliers being supplied by a range of smaller PET bottle suppliers including Pact Group (in Queensland, New South Wales and Victoria), Hollywood Plastics (in New South Wales and Victoria) and Viscount Plastics (in Western Australia).

22. Dairy suppliers predominantly use HPDE bottles for packaging milk, particularly in 2-3L bottle sizes. Fruit juice suppliers also use 2-3L HDPE bottles for fresh juice. Dairy and fruit juice suppliers also use PET bottles and cartons for up to 1L bottle sizes.

23. In addition to the merging parties, other HDPE bottle manufacturers include Queensland Blow Moulders (in Queensland), Hollywood Plastics (in New South Wales) and Food Plastics (in Victoria). Given the perishable nature of milk and the need to shorten supply timeframes, there is a significant level of on-site/in-house supply of 2-3L HDPE bottles by dairy suppliers through the dairy joint ventures referred to in paragraph 10 above.

## Market inquiries

24. On 2 August 2007 the ACCC commenced market inquiries regarding the proposed acquisition with a range of industry participants, including competitors, potential competitors, customers, input suppliers, industry bodies and other interested parties.

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[2] For instance, industry reports indicate that approximately 93% of PET blow-moulded containers (i.e. bottles and jars) are used to package beverages.

[3] Market inquiries indicated that dairy products including milk are generally classed by the packaging industry as non-beverages. In contrast, dairy suppliers tend to treat milk as a beverage. For the purpose of this Public Competition Assessment, the ACCC has treated milk as a beverage.

25. A number of competition issues were identified in the Statement of Issues published by the ACCC in relation to this matter on 13 September 2007 (**Statement of Issues**) including:

- the relationship between Pact Group and Visy;
- the manufacture and supply of PET bottles;
- the manufacture and supply of 2-3L HDPE bottles;
- the ability and incentive for the merged entity and Visy to foreclose competition in packaging markets; and
- the manufacture and supply of plastic closures, PET preforms and PET and HDPE resins.

26. Further information on these issues was sought from market participants through second phase market inquiries.

## Timing

27. The following table outlines the timeline of key events in this matter.

| | |
|---|---|
| 31 Jul 2007 | Pact Group advised ACCC of the proposed acquisition. ACCC commenced review under the Merger Review Process Guidelines. |
| 02 Aug 2007 | Market inquiries commence. |
| 07 Aug 2007 | ACCC requested further information from Pact Group. ACCC timeline suspended. |
| 14 Aug 2007 | ACCC received further information from Pact Group. ACCC timeline recommenced. |
| 20 Aug 2007 | Closing date for submissions from interested parties. |
| 21 Aug 2007 | ACCC requested further information from Pact Group. ACCC timeline suspended. |
| 10 Sept 2007 | ACCC received further information from Pact Group. ACCC timeline recommenced. |
| 13 Sept 2007 | ACCC published a Statement of Issues outlining preliminary competition concerns. Former proposed date of 19 September 2007 for announcement of ACCC's findings amended to 19 October 2007 to allow for consultation on Statement of Issues. |
| 20 Sept 2007 | ACCC requested further information from Pact Group and Brickwood. ACCC timeline suspended. |
| 26 Sept 2007 | Closing date for submissions relating to Statement of Issues. |
| 27 Sept 2007 | ACCC received partial response to information request dated 20 September 2007. |
| 04 Oct 2007 | Former proposed date of 19 October 2007 for announcement of ACCC's findings amended to 26 October 2007 to allow for consideration of further information received. |
| 19 Oct 2007 | Former proposed date of 26 October 2007 for announcement of ACCC's findings suspended to allow for Pact Group to provide further information. Revised ACCC indicative decision date to be identified as soon as possible following receipt of Pact Group's further submission. |
| 23 Oct 2007 | ACCC received further information from Pact Group. ACCC timeline recommenced. |
| 31 Oct 2007 | Proposed date for announcement of ACCC's findings. |

**Relationship between Pact Group and Visy**

28. In reaching its decision in relation to the proposed acquisition, the ACCC had regard to the commercial and family relationships between Pact Group and Visy, and the impact of these relationships on the likely effectiveness of competition between Pact Group and Visy post acquisition.

29. The ACCC is concerned that the corporate relationship arising from the current financial arrangements and shared services arrangements (including potential information flows) between Pact Group and Visy make it unlikely that the merged entity and Visy would compete effectively against one another. In addition, the ACCC considered the incentives flowing from personal and family relationships between Pact Group and Visy post acquisition would similarly have the potential to undermine competition between the merged entity and Visy.

**Manufacture and supply of PET bottles**

*Market definition*

30. The ACCC's market inquiries indicated that while beverage suppliers may use a range of alternative packaging products, these alternatives are generally not close substitutes for the use of PET bottles due to:

- functional properties of PET in that PET has superior barrier properties to other plastics, allows beverages to be quickly chilled and can be cold or warm filled, easily moulded into different shapes and easily stored and handled; and
- end-customer preferences for PET bottles which have contributed to beverage suppliers' growing demand for their products.

31. In addition, there is limited supply side substitutability between large scale PET bottle manufacturing and the manufacturing of other packaging products. Market inquiries also indicated there is a very limited ability to supply PET bottles interstate due to the significant cost of transport relative to their value. Accordingly, the ACCC considered that the relevant markets in this matter included the markets for the manufacture and supply of PET bottles in Queensland, New South Wales and Victoria.

*Competition assessment*

32. Market inquiries indicated that, although Brickwood supplies lower volumes of PET bottles than Visy, Brickwood does impose a direct competitive constraint on Visy with respect to the supply of PET bottles to large beverage customers.

33. The ACCC considered whether alternative PET bottle suppliers would provide a competitive constraint on the merged entity and Visy. Market inquiries indicated that the range of smaller PET bottle suppliers currently operating are likely to provide some level of competitive constraint with respect to the supply of PET bottles to small to medium beverage suppliers. However, smaller PET bottle suppliers would be unlikely to have the PET bottle manufacturing capacity or capability to meet the requirements of large beverage suppliers. In particular, large beverage customers are likely to require the reliable and flexible[4] supply of high volumes of PET bottles (over approximately 100 million PET bottles per annum) through facilities in several states.

34. Accordingly, the proposed acquisition would result in the removal of the most significant and direct competitive constraint on Visy in the supply of PET bottles to large beverage customers and the merged entity and Visy would be the major suppliers of PET bottles in Australia.

35. The ACCC also considered the extent to which barriers to entry or expansion are present in the relevant markets. Market inquiries indicated that although PET bottle manufacturing can be scaled up in increments, the capital cost of establishing large scale PET bottle manufacturing operations is significant and much of these capital costs are sunk costs. The ACCC considered it unlikely that a new entrant would invest in significant PET bottle capacity on speculation that it may be able to subsequently secure supply agreements with large beverage customers.

36. In terms of sponsored expansion based on long term supply agreements with large beverage suppliers, market inquiries indicated that smaller PET bottle manufacturers are likely to experience difficulty in securing such long term supply agreements in circumstances where they do not have a proven capability to reliably supply large beverage suppliers.

37. Accordingly, the ACCC considered that there are significant impediments to reaching a large scale in PET bottle manufacturing. As such, it is unlikely a threat of sponsored expansion would impose a substantial competitive constraint on the merged entity and Visy.

38. The ACCC also considered the extent to which large beverage customers may have countervailing power through their ability to manufacture PET bottles on an in-house basis. Market inquiries indicated that although large beverage suppliers would face comparable capital costs to an outsourced supplier in establishing in-house PET bottle operations, in-house operations may provide long term cost advantages for large beverage customers through reduced freight and outsourced manufacturing costs.

39. However, market inquiries indicated that there are significant advantages to outsourced supply of PET bottles for large beverage suppliers such as enabling beverage suppliers to focus on their core business and providing greater flexibility and product innovation to respond to changes in retail beverage markets.

[4] In terms of the ability to vary bottle shapes and volumes over the term of a supply agreement.

40. Market inquiries indicated that large beverage manufactures are likely to consider PET bottle manufacturing in this context rather than based on cost considerations alone. Accordingly, the ACCC considered that the threat of in-house PET bottle manufacturing by large beverage suppliers is unlikely to provide a substantial constraint on the merged entity and Visy.

41. In conclusion, the ACCC considered that the proposed acquisition is likely to give rise to a substantial lessening of competition with respect to the manufacture and supply of PET bottles in Queensland, New South Wales and Victoria.

**Manufacture and supply of 2-3L HDPE bottles**

*Market definition*

42. Market inquiries indicated that for dairy and fresh fruit juice suppliers, alternative packaging products are not generally close substitutes for the use of 2-3L HDPE bottles due to:

- functional properties in that 2-3L bottles are able to be manufactured with an integrated handle[5]; and
- end-user preferences for 2-3L HDPE bottles which have contributed to dairy and fresh fruit juice suppliers growing demand for their products.

43. Market inquiries indicated there is some supply side substitutability between 2-3L HDPE bottle manufacturing and other plastic packaging manufacturing but no supply side substitutability with other packaging media. There is a very limited ability to supply 2-3L HDPE bottles interstate due to the significant cost of transport relative to their value.

44. Accordingly, the ACCC considered that the relevant markets in this matter included the markets for the manufacture and supply of 2-3L HDPE bottles in Queensland, New South Wales and Victoria.

*Competition analysis*

45. The proposed acquisition would have resulted in the largest HDPE bottle supplier (Brickwood) being acquired by a recent entrant to HDPE bottle manufacture and supply (Pact Group). The merged entity would have had a strong position in the supply of 2-3L HDPE bottles in Queensland, New South Wales and Victoria.

46. The ACCC considered whether alternative 2-3L HDPE bottle suppliers would provide a competitive constraint to the merged entity. Market inquiries indicated that post acquisition, 2-3L HDPE bottle customers located in Queensland, New South Wales and Victoria would have at least one alternative HDPE bottle supplier to the merged entity and that these suppliers would be well placed to expand 2-3L HDPE beverage bottle manufacturing and supply.

[5] The ACCC notes that developments in packaging technology may result in an integrated handle for PET bottles being available on a cost effective basis in the future which may be substitutable for 2-3L HDPE bottles.

47. Market inquiries also indicated that barriers to entry to the manufacturing of HDPE bottles are relatively low (notably lower than for PET bottles). This is because HDPE bottle manufacturing equipment is relatively inexpensive, and the perishable nature of milk and fresh juice means that HDPE bottles can viably be manufactured on a smaller scale at the site of beverage production.

48. In addition, these relatively low barriers to entry are reflected in the ability of some 2-3L HDPE bottle customers to participate in in-house 2-3L HDPE bottle manufacturing joint ventures. The ACCC considered the viability of in-house manufacturing for some customers is likely to impose a constraint on the merged entity with respect to the supply of 2-3L HDPE bottles.

49. Having considered all these factors, the ACCC considered that the proposed acquisition is unlikely to give rise to a substantial lessening of competition with respect to the manufacture and supply of 2-3L HDPE bottles in Queensland, New South Wales and Victoria.

**Ability and incentive to foreclose competition**

50. The ACCC considered whether the proposed acquisition would lead to competition concerns with respect to the potential for the merged entity, by itself or in combination with Visy, to impose conditions on the supply of packaging or related products to the detriment of competition.

51. This could arise from the merged entity's and Visy's unique position as suppliers of a portfolio of complementary packaging products, including being the major suppliers of PET bottles in Australia. In particular, the merged entity and Visy could seek to foreclose competition with respect to the supply of packaging products by bundling or tying the supply of PET bottles with other packaging products.

52. However, market inquiries did not indicate specific scenarios in which the merged entity and Visy would be likely to engage in such bundling conduct with the effect of substantially lessening competition.

**Plastic closures, PET preforms, PET and HDPE resin**

53. Further market inquiries confirmed the ACCC's preliminary view, as expressed in the ACCC's Statement of Issues, that the proposed acquisition was unlikely to give rise to a substantial lessening of competition with respect to the manufacture and supply of plastic closures, PET preforms and PET and HDPE resin.

**Conclusion**

54. On the basis set out above, the ACCC formed the view that the proposed acquisition would be likely to result in a substantial lessening of competition in the markets for the manufacture and supply of PET bottles in Queensland, New South Wales and Victoria, in contravention of section 50 of the Act.